6.4 Income and Wealth Inequality

Video: Income and Wealth Inequality (Crash Course Economics)

Two Types of Economic Inequality

Type	Meaning
	Accumulated _____ minus _____ (savings, pensions, real estate, stocks)
	The new earnings constantly being added to that pile of wealth

Global Inequality

North America and Europe have less than 20% of the world's population but _____ of the world's wealth.

Economist Branko Milanovic described an economic big bang: the _____ pushed some countries onto the path to higher incomes while others stayed behind.

Most economists agree _____ has helped the world's poorest people, but it has helped the rich a lot more.

Why Is the Gap Growing?

_____: new jobs require new skills, so technology complements skilled workers but replaces many unskilled workers.

Over the last fifty years, the salaries of college graduates have grown, while _____ graduates' incomes have dropped after adjusting for inflation.

Other reasons mentioned include the reduced influence of _____, tax policies, and very high CEO salaries.

Measuring Inequality in the U.S.

The _____ shows the percent of households and their percent share of income. A straight line represents perfect income equality, but perfect equality is not really the goal, because different incomes give people an _____.

In 2010, the poorest 20% of Americans made 3.3% of the income and the richest 20% made over _____.

The _____ measures the gap between equal distribution and actual distribution: 0 is _____ and 100 is complete inequality.

The Debate: Is It a Problem?

The debate is not about whether inequality exists, but whether it is a problem and what to do about it.

Some argue it is not a big deal: all groups may be earning more, even if the rich's _____ is growing faster (the apple tree example).
Others argue it does more harm: they point to studies linking it to more violence and drug abuse, and say it dilutes _____.

Possible Responses

There is not a lot of agreement. Ideas economists have proposed include:

More and better _____
An increased minimum wage or affordable, high-quality childcare
Higher taxes on the rich or closing tax loopholes (U.S. income taxes are already somewhat _____)
Others argue that reducing _____ and red tape would be more effective than raising taxes

Think About It

The video says education is linked to higher income. How does that connect to your own plans after high school? _____